Why the Next Seat at the Table Might Be a Council, Not a Director

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EXECUTIVE SUMMARY

The Architecture of the Boardroom Is Being Rebuilt While It Is Still Occupied

The session examined three shifts at once: how the roles of chair, director, and corporate secretary have changed; whether frontier expertise in AI, science, and geopolitics should enter the board through a standing council rather than another director; and what test every board decision should pass.

The conversation kept returning to one point: no structural fix – a new seat, a council, a committee, an AI tool – works until owners, directors, and executives share an explicit governance philosophy, anchored in one question: what is good for the company?

Participants shared experiences from listed, family-owned, foundation-anchored, private-equity and state-owned companies, and from boards in the Gulf.

Key insights

- Great execution with bad governance is the worst combination. Governance decides the direction, monitors it, and changes it as necessary; execution ensures progress in the right direction, possibly accelerates it.
- Philosophy before structure. Directors typically have one. But, where directors' private philosophies of governance are never reconciled, capable people pull in different directions.
- The board is legally responsible for the company – not for the shareholders, the owners, the CEO or the chair.
- Three boards, one governance. Owners set mission, values and the rules of the game; the board governs the company; executives run the business.
- AI moves the board meeting from information to judgement – and judgement benefits and is sharpened by a diversity of minds.

- Advisors and councils are useful at the right level. A board that compensates for its composition by adding advisors, risks becoming a parliament where parties aim to have their views heard and implemented, rather than deciding what is good for the company.

I. THE OPENING PROVOCATION

Every Seat Has Changed

Two weeks before the session, one of Europe's most strategic industrial groups replaced its long-serving chair with the sitting CEO of a company at the frontier of technology. Two lessons were drawn: chairing a major company now requires full attention, and boards increasingly fill their most important seats with people who live at the frontier and aim to change it, rather than hearing about it second-hand. Boards need to be built for the future.

A gap boards cannot close fast enough

A survey of around a thousand European directors suggests that only 29% believe their board's current expertise is sufficient for what lies ahead – before adding science and geopolitics to technology and AI. Because a board can only renew so many seats per year, some boards are creating standing external councils – a form of consigliere – to bring timely knowledge into the room without occupying a seat.

Three seats, three new roles

Seat	Yesterday	Today
The Chair	Decider: the ruling figure at the head of the table	Listener: ensures every voice is heard, speaks last, closes the debate when it matters
The Director	Overseer: chosen for a single area of expertise	Judge: valued for judgement across multiple topics and working as part of a team
The Corporate Secretary	Organiser: makes sure meetings happen and are properly documented	Governance Officer: the trusted go-to person across management, board and stakeholders

Most boards have not yet rewritten the job descriptions, nor the board charter.

The third angle was a litmus test for every decision: is this good for the company – not for the CEO, not for the chair, not for the shareholders or even today's owners?

The board's job has shifted from supervising risks to choosing them. Not choosing may be the biggest risk of all.

II. THE ACADEMIC LENS

Great Execution, Bad Governance – and the Need for a Shared Philosophy

Ludo drew on family businesses he saw fail in his youth – one sold too late, another liquidated – to argue that the root cause in both was weak governance, both in the family and of the business. Weak execution was the consequence.

Directors must learn faster than anyone, in order to be capable to steer the company into a good future. One must learn from mistakes, but one cannot change the past: every board meeting is like a final of a competition. Boards that do not learn repeat the same errors, such as nominating the wrong CEO. But one cannot set the clock, poor decisions cannot be erased, they can only be changed going forward.

"Bad governance and no execution are not the worst thing. The worst is great execution and bad governance. That leads to real value destruction. And in that case, the worst is to keep executing without changing the direction."

— Ludo

He defined governance as keeping four factors aligned: the environment (where you choose to fight), the organisation (which executes the fight), the strategy (which allows you to win), and the leadership (which ensures the win).

Boards tend to lag – most acutely when a CEO becomes chair, which anchors the company in its past. One company, #1 in its sector, applies a rule worth remembering: if we change strategy, we change the CEO.

Four philosophies around one table

On the supervisory board of a state-owned energy company in a country at war, Ludo counted at least four governance philosophies among seven directors, while the owner often saw the board as an obstacle and preferred to speak directly to the CEO. The board was eventually dismissed – yet nineteen months later asked to return, for it had learned that state owners (particularly in war) could not govern. Power in governance by the boards cannot simply be taken; it has to be given. The critical lever is indeed the appointment of the CEO, and it takes trust in the board for owners to delegate that decision to their board. Once owners bypass the board on that decision, it loses its authority and the board its relevance. This is the dilemma facing strong owners.

"If the owners, the directors and the executives do not share the same philosophy – that the board is ultimately responsible for the company – governance does not work."

— Ludo

Which shareholder?

Shareholders often disagree among themselves and are rarely fully aligned: in the energy example, one ministry wanted more energy, another more dividends, and the head of state cheap gas for its people.

Where shareholders are numerous and dispersed, like for listed firms, the CEO tends to take over; and where chair and CEO are combined, governance effectively ceases to exist. Ludo prefers Plato's frame: governors should seek what the company could truly be, guarding against private interests and against 'sophists' with brilliant ideas but that are wrong ideas in the context the company faces. Directors must be detached from private interests – but never independent of the company's mission. Independence in judgement, but strong dependence on the mission and the role.

III. THE PRACTITIONER'S LENS

Governance Under Pressure: The View from the Secretary's Chair

David took up his role some twenty years ago, after a shareholder motion against combining the CEO and chair roles was defeated with barely half the votes. The lesson: governance matters most in a crisis. In the Swiss system, he noted, power ultimately rests with the board; the CEO is its delegate. During an activist campaign, long-standing chair's roundtables with investors gave the board an established platform to reach the other 99% of shareholders – governance built in calm times became a bulwark in turbulent ones.

Information gaps and time delays

Two weaknesses persist: the information gap between board and management, and the six to twelve months boards typically take to replace a CEO who is no longer the right person. From the secretary's seat, the early signals are visible – directors talking in small groups over dinner, sharper questions, answers no longer accepted, revealing body language.

How the seats have changed

The secretary has moved from administrator towards trusted advisor to the board and the chair. The chair has become a first among equals who speaks last and turns the board into a team that asks the right questions. Directors are more engaged and challenge more. David's guidance to new board members: nose in, hands out, eyes to the future.

"At the end, the client is the company. You work for the company – not only for one of the individuals involved."

— David

IV. OWNERS, DIRECTORS, EXECUTIVES

Three Boards, One Governance – and the Council Question

Asked how a foundation-owned company can avoid being too conservative and slow, Ludo argued that governance works best with an explicit owners' board that sets the mission, the values and the rules of the game, including who can lead the company. The board of directors implements that mission and, where needed, influences the owners to reconsider it. In widely held listed companies, everyone is an owner and nobody is – and direction is set by default by the CEO.

Boards often confuse three strategies: the owners' strategy (keep investing or sell; which countries and sectors), the board's corporate strategy (the major battles – capital commitment, CEO succession) and the executives' business strategy (how to win in our markets). When a board asks who owns strategy, Ludo's answer is: which strategy? Regular informal meetings between the head of the owners' board, the chair and the CEO surface concerns early and build trust – and never surprise the CEO. Participants stressed that such structures depend on people and on clarity of roles; where roles are unclear, private agendas fill the vacuum.

Family boards and advisors

A participant from the Gulf, where family businesses dominate and family directors are hard to replace, asked how advisory boards should work alongside them. Ludo's answer: create an owners' board, which the founder and/or the family chair can continue to chair, and let it collectively appoint a professional board of directors. 'Representative' is a toxic word – a director is responsible for the corporation, not for representing a branch of shareholders. Keeping a family-dominated board and surrounding it with advisors creates a parliament and multiplies conflicts of interest between "parties". Another participant added a rule: if the CEO is a family member, the chair of the owners' board should not be – and vice versa.

THE COUNCIL QUESTION – WHAT THE ROOM SUGGESTED

- External expertise is useful, but it belongs with the body that needs it: owners, board or executives.
- An owners' council cannot compensate for a board whose composition is wrong. Advisors added to an unreformed board risk creating a parliament.
- Seats are best reserved for judgement and experience; expertise can sit alongside them.
- Without a shared philosophy of governance, an owners' council adds information, not wisdom.

V. PEOPLE, AI AND JUDGEMENT

From Information to Judgement

Ludo set out three pillars of governance performance – structure, relations, and people – and noted that the leading governance codes say almost nothing about people, focusing on structures and relations. A bad chair is not 'not my problem' but a governance problem for the whole board, and for the company. Boards should test candidates' ability to listen. The diversity Ludo values in a director are knowledge and experience with three cultures, three industries, and three executive functions: great for a generalist conversation without polarisation. A final caveat: finding diversity may not be easy; however, managing it can be harder.

A participant with CEO, chair, and director experience argued that the bigger change induced by AI is not in the roles but in the information flow. Boards still receive documents prepared by management, creating information and time gaps; AI now makes it realistic to give the board the same system access as management. Another cautioned that unrestricted AI access – or AI agents posing as quasi board members – could undermine management's strategy process, so AI use at board level itself needs governance.

"The next board discussion is no longer about capturing the information – AI gives you that. It is about exercising judgement. Governance is judgement."

— Ludo

VI. BUILDING THE BOARD AS A TEAM

Psychological Safety, Shared Learning and Honest Feedback

In a crisis, only the ability to speak up keeps the focus on the company – and that requires psychological safety. Participants described practices that build it:

- Joint strategy breakouts that mix board members and executives at the annual retreat.
- Joint learning sessions on subjects such as AI, where nobody claims to be the expert.
- Learning expeditions: a European brewer's board spent a day and a half visiting bars and supermarkets, then tested management against its own observations before the formal meeting.
- Anonymous feedback after every meeting, scored from 0 (failure) to 5 (excellent) by executives and non-executives: did we gain a sense of mission, learn something, make the executives better, change the company – and is there less fog?

When the chair is the problem, or poor directors are the issue, the owners' board must ask whether it has the right board. A director can always resign – but should not resign in silence if things are bad. Most board problems still stem from a lack of courage to put the fish on the table. A receptive owners board must of course be willing and open to hear the feedback from departing board members.

"You have to structure the learning. You have to manage the conversations. Be creative on governance. Avoid routine."

— Ludo

VII. THE RED LINE AND SYNTHESIS

Council or Director? What the Session Suggests

David's closing sentence was simple: 'good for the company' is a guidepost for almost any question. Ludo added that governance is a multi-team sport; that two is a bad number, because one party eventually dominates or the room splits and is no longer united; and that boards should depersonalise debate and search for the truth about what the company could really be.

The session reframed rather than answered the title question. A council can bring frontier knowledge into the room faster than any election cycle, but:

- Philosophy comes first. Without a shared view of what the board is for, a council only adds information.

- Expertise belongs to the right level – owners, board or executives.
- Seats are for judgement, increasingly so as AI makes information abundant.
- Relations make structures work, and vice versa.
- Shared learning, safety and honest feedback turn expertise into better decisions.
- The red line is the test: is this truly good for the company?

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